Notes: Mian, Sufi, and Trebbi (AER, 2010)
The Political Economy of the US Mortgage Default Crisis

Contents

1 Big picture **3**

2 Incremental contribution of the paper **3**

3 Data and measurement **4**

3.1 Legislative votes . . . 4

3.2 Constituent interests: mortgage defaults . . . 4

3.3 Special interests: financial-sector campaign contributions . . . 4

3.4 Ideology and political controls . . . 5

3.5 Party registration and within-district voting blocs . . . 5

4 Empirical specifications and interpretation **5**

4.1 Baseline vote model . . . 5

4.2 Competitive-district interaction . . . 5

4.3 Home versus nonhome default targeting . . . 6

4.4 Dual-constituency model . . . 6

4.5 Ideology trade-off model . . . 6

5 Identification and empirical design **6**

5.1 Why the crisis setting is powerful . . . 6

5.2 What is credible and what remains limited . . . 6

5.3 Why the party-registration test matters . . . 7

6 Tables and figures **7**

6.1 Table 1 - Summary statistics for congressional districts + Figure 1 - Frequency distributions of main RHS variables . . . 7

6.2 Table 2 - Correlation matrix + Table 3 - Voting patterns on AHRFPA . . . 8

6.3 Figure 2 - AHRFPA vote against mortgage default rate + Table 4 - Constituent interests and AHRFPA voting . . . 8

6.4 Table 5 - Targeting constituent interests + Table 6 - Electoral competition . . . 9

6.5 Figure 3 - Republican/Democratic default-rate difference + Table 7 - Own voting bloc . . . 10

6.6 Table 8 - EESA voting patterns + Figure 4 - EESA vote against financial contributions . . . 11

6.7 Table 9 Panel A - Special interests and EESA + Table 9 Panel B - Switch votes . . . 12

6.8 Table 10 Panel A + Table 10 Panel B - Ideology versus constituent and special interests . . . 13

6.9 Figure 5 - AHRFPA by ideology + Figure 6 - EESA by ideology . . . 14

7 Short summary **14**

8 Conclusion **15**
8.1 Core conclusion 15
8.2 Incremental contribution revisited 15
8.3 Mechanism and interpretation 15
8.4 Broader implication 15
8.5 Limitations and caution 16
8.6 Takeaway 16

1 Big picture

- **Question.** What drove congressional voting on the two major US government interventions during the mortgage default crisis: constituent distress, financial-sector special interests, or legislator ideology?
- **Setting.** The paper studies House votes on the American Housing Rescue and Foreclosure Prevention Act (AHRFPA, July 2008) and the Emergency Economic Stabilization Act (EESA/TARP, October 2008).
- **Constituent-interest shock.** Mortgage defaults rose sharply and unevenly across congressional districts. This gives a district-level measure of how much voters were exposed to mortgage distress.
- **Special-interest shock.** The financial sector had a direct stake in emergency stabilization and rescue legislation. Campaign contributions from finance provide a measure of special-interest pressure.
- **Ideology.** DW-Nominate scores capture whether legislators are ideologically conservative or liberal. Ideology is measured before the crisis votes, so it is not mechanically generated by the votes studied.
- **Main AHRFPA result.** Republican representatives from high-default districts are more likely to support foreclosure-prevention legislation, especially when districts are electorally competitive.
- **Targeting result.** Republican legislators respond to home defaults rather than nonhome consumer defaults, which suggests that they are responding to the relevant crisis-specific constituent interest rather than generic local distress.
- **Voting-bloc result.** Republicans respond more strongly to mortgage defaults among registered Republicans than among registered Democrats within the same district.
- **Main EESA result.** Financial-sector campaign contributions are positively associated with support for the bank rescue legislation, particularly in the October 3 vote.
- **Ideology interaction.** Conservative legislators are less responsive to both constituent distress and special-interest contributions. Ideology constrains the effect of political pressure.
- **Core takeaway.** Crisis voting is shaped by all three forces: voters, organized special interests, and ideology. The paper shows not only that these forces matter, but also when and for whom they matter.

2 Incremental contribution of the paper

- **Incremental contribution:** The paper brings the political economy of financial crises into a high-frequency, geographically precise empirical design. Rather than studying broad policy positions or campaign platforms, it links actual congressional roll-call votes to district-level mortgage defaults and financial-sector contributions at the moment of crisis legislation.
- **Relative to classic ideology-versus-interest studies.** Earlier work often struggles because ideology, constituents, and donors are naturally aligned. This paper uses the mortgage default crisis to create a setting where these forces can diverge: conservative Republicans may ideologically dislike intervention but represent districts with severe mortgage distress.
- **Relative to special-interest studies.** The EESA vote provides unusually clear stakes for the financial sector. Contributions can be connected to a major emergency bill that directly benefited the industry, making the special-interest channel sharper than in many generic voting contexts.
- **Relative to median-voter or constituency models.** The paper goes beyond district averages by using party registration data within districts. This allows a test of the "dual constituency" hypothesis: politicians may respond more to their own partisan base than to the district as a whole.
- **Relative to the financial-crisis literature.** The paper shifts attention from the economic causes of the mortgage crisis to the political response to the crisis. It shows how the geography of defaults and the geography of campaign money affected the policy response.

- **Methodological contribution.** Combining Equifax zip-code mortgage defaults, congressional district mapping, roll-call votes, CRP campaign contributions, DW-Nominate ideology, and voter party registration creates a rich empirical map of political incentives.
- **Substantive contribution.** The paper shows that crisis policy is not simply a technocratic response to economic fundamentals. It is mediated by electoral incentives, organized interests, and ideological commitments.

3 Data and measurement

3.1 Legislative votes

- **AHRFPA 2008.** The American Housing Rescue and Foreclosure Prevention Act created or expanded foreclosure-prevention and housing-support programs, including the Hope for Homeowners program and support for housing finance institutions.
- **EESA 2008.** The Emergency Economic Stabilization Act authorized extraordinary intervention in financial markets through TARP and related emergency support measures.
- The analysis focuses on House roll-call votes, with emphasis on Republicans because Democratic support for AHRFPA was almost unanimous and therefore left little cross-sectional variation.

Interpretation: The two bills are useful because their political beneficiaries differ. AHRFPA is naturally linked to distressed homeowners and local foreclosure pressure. EESA is naturally linked to the financial sector and the systemic bailout response.

3.2 Constituent interests: mortgage defaults

- The key district-level constituent variable is the mortgage default rate as of 2007:IV.
- The paper also uses the 2005:IV default rate and the change from 2005:IV to 2007:IV.
- Home defaults include mortgages and home-equity loans.
- Nonhome defaults include credit-card, auto, student-loan, and other consumer-loan defaults.
- Zip-code default rates are mapped into congressional districts.

Interpretation: Mortgage defaults capture both the extensive margin of affected voters and the severity of distressed debt. They also capture spillovers to local house prices, foreclosure externalities, and neighborhood financial stress.

3.3 Special interests: financial-sector campaign contributions

- Campaign contribution data come from the Center for Responsive Politics.
- The main special-interest measure is the log of finance, insurance, and real estate contributions per cycle.
- The paper also uses 2008-cycle contributions and nonfinance contributions as robustness checks.
- Financial-sector employment in the district is used to distinguish contribution effects from constituent employment exposure to finance.

Interpretation: Contributions are not interpreted as a clean randomized treatment. Instead, they are a measure of organized financial-sector access, influence, and political alignment that can be compared with constituent defaults and ideology.

3.4 Ideology and political controls

- Ideology is measured by the DW-Nominate score as of June 2008.
- Conservative ideology is associated with a higher DW-Nominate score.
- Political controls include financial-committee membership, number of terms served, and 2006 margin of victory.
- District demographics include race, income, poverty, education, and urban status.

Interpretation: Ideology is both a direct predictor of voting and a moderator of other pressures. The most important substantive result is not just that ideology matters, but that conservative ideology weakens responsiveness to constituent and special-interest pressure.

3.5 Party registration and within-district voting blocs

- The paper uses zip-code-level voter party affiliation data for 38 states.
- Republican and Democratic mortgage default rates are constructed by weighting zip-code default rates by the local share of registered Republicans or Democrats.
- This allows the authors to ask whether politicians respond to all constituents equally or respond more strongly to their partisan support base.

Interpretation: The party-registration data create a test of whether legislators respond to the median voter or to their core electoral coalition.

4 Empirical specifications and interpretation

4.1 Baseline vote model

The generic linear probability model is:

$$Vote_i = \alpha + \beta_1 ConstituentInterest_i + \beta_2 SpecialInterest_i + \beta_3 Ideology_i + X_i'\Gamma + \varepsilon_i.$$

- $Vote_i$ equals one if representative i votes in favor of the bill.
- $ConstituentInterest_i$ is the district mortgage default rate.
- $SpecialInterest_i$ is financial-industry campaign contributions.
- $Ideology_i$ is the DW-Nominate score.
- X_i contains political and census controls.

Interpretation: For AHRFPA, a positive β_1 means representatives in high-default districts support foreclosure relief. For EESA, a positive β_2 means representatives with more finance support are more likely to support the stabilization bill.

4.2 Competitive-district interaction

$$Vote_i = \alpha + \beta Default_i + \delta(Default_i \times Competition_i) + \eta Competition_i + X_i'\Gamma + \varepsilon_i.$$

Interpretation: If $\delta > 0$, constituent distress matters more when representatives face greater electoral pressure. This is a direct test of electoral accountability.

4.3 Home versus nonhome default targeting

$$Vote_i = \alpha + \beta_H HomeDefault_i + \beta_N NonHomeDefault_i + X_i'\Gamma + \varepsilon_i.$$

Interpretation: If the mortgage-default mechanism is correct, β_H should be positive and large, while β_N should be small or insignificant. This checks whether legislators respond to the crisis-relevant form of local distress.

4.4 Dual-constituency model

$$Vote_i = \alpha + \beta_R RepublicanDefault_i + \beta_D DemocraticDefault_i + X_i'\Gamma + \varepsilon_i.$$

Interpretation: If politicians respond more to their own supporters, Republican legislators should respond more to Republican default rates than Democratic default rates.

4.5 Ideology trade-off model

$$Vote_i = \alpha + \beta Default_i + \theta Ideology_i + \lambda(Default_i \times Ideology_i) + X_i'\Gamma + \varepsilon_i.$$

For the EESA vote, the analogous interaction uses financial-sector contributions:

$$Vote_i = \alpha + \beta Contributions_i + \theta Ideology_i + \lambda(Contributions_i \times Ideology_i) + X_i'\Gamma + \varepsilon_i.$$

Interpretation: A negative interaction indicates that conservative legislators respond less strongly to the relevant political pressure. Ideology does not merely shift the level of support; it changes the slope of responsiveness to constituents and donors.

5 Identification and empirical design

5.1 Why the crisis setting is powerful

- The crisis creates large cross-district variation in mortgage distress.
- The political salience of the votes reduces concern that legislators and voters were unaware of the issues.
- The bills had clearly identified beneficiaries: distressed homeowners and lenders for AHRFPA; financial institutions for EESA.
- The votes occurred immediately before the 2008 election, making electoral pressure especially relevant.

Interpretation: The empirical design is strongest as a cross-sectional political-economy design in a salient crisis, not as a randomized experiment.

5.2 What is credible and what remains limited

- Mortgage defaults are plausibly relevant to constituent interests, but default rates may correlate with unobserved district preferences.
- Contributions are measured precisely, but they may reflect political alignment as well as influence.
- DW-Nominate is a strong ideology proxy, but ideology is not experimentally assigned.
- The paper uses controls, robustness checks, alternative votes, switcher analysis, and subgroup tests to strengthen interpretation.

Interpretation: The paper provides strong evidence of systematic political responsiveness but remains careful about purely causal interpretations, especially for campaign contributions.

5.3 Why the party-registration test matters

- District-level averages can hide whether politicians respond to everyone or mainly to their electoral coalition.
- The zip-code party registration data allow the paper to construct partisan exposure to mortgage distress.
- The finding that Republicans respond more to Republican defaults is a distinctive contribution beyond standard median-voter models.

Interpretation: This moves the paper from a simple "constituents matter" result to a richer model of targeted political responsiveness.

6 Tables and figures

6.1 Table 1 - Summary statistics for congressional districts + Figure 1 - Frequency distributions of main RHS variables

Read:

- Table 1 shows that Democratic districts had higher mortgage default rates than Republican districts, but there is substantial variation within Republican districts.
- Republican districts have higher DW-Nominate scores and slightly higher average financial-sector contributions per cycle.
- Figure 1 shows that mortgage default rates are right-skewed, financial contributions are dispersed, and ideology is strongly bimodal.
- The figure also shows that Republican districts vary in 2006 vote margins, providing useful variation in electoral competition.

Economic message: The central empirical variables contain enough cross-sectional variation to separate mortgage distress, donor interests, ideology, and electoral competitiveness.

Table 1—Summary Statistics for Congressional Districts

	Democrats[a]				Republicans[a]			
	N	Mean	SD	Median	*N*	Mean	SD	Median
Measures of constituent interests								
Mortgage default rate (2007:IV)	236	0.068	0.033	0.061	199	0.055	0.019	0.052
Mortgage default rate (2005:IV)	236	0.039	0.024	0.034	199	0.033	0.012	0.031
ΔMortgage default rate (2005:IV–2007:IV)	236	0.029	0.024	0.022	199	0.022	0.020	0.015
Registered Republican default rate (2007:IV)	198	0.062	0.027	0.056	166	0.053	0.019	0.049
Registered Democratic default rate (2007:IV)	198	0.073	0.032	0.067	166	0.059	0.021	0.054
Home default rate (2007:IV)	236	0.065	0.032	0.059	199	0.053	0.018	0.050
Nonhome default rate (2007:IV)	236	0.092	0.028	0.085	199	0.077	0.016	0.077
Fraction of work force in financial industry	236	4.961	2.134	4.373	199	4.923	1.925	4.520
Fraction of households with >$200K income	236	0.023	0.019	0.015	199	0.024	0.019	0.017
Measure of special interest—campaign contributions								
Financial industry contributions, 2008 cycle ($000)	236	184.3	205.6	117.4	199	190.2	187.6	130.3
Total contributions, 2008 cycle ($000)	228	1,324.8	838.6	1,110.1	170	1,307.8	813.9	1,142.1
Financial industry contributions, average per cycle	236	137.6	159.7	90.5	199	163.1	155.4	105.1
Measure of ideology								
DW-Nominate ideology score	236	−0.406	0.188	−0.408	199	0.545	0.177	0.531
Other political variables								
On financial committee	236	0.161	0.368	0.000	199	0.176	0.382	0.000
Number terms served	236	6.203	4.762	6.000	199	5.729	3.895	5.000
Vote margin, November 2006	236	49.0	31.5	41.9	199	26.7	20.6	23.6
Census demographics (2000)								
Fraction Hispanic households	236	0.122	0.165	0.046	199	0.070	0.100	0.035
Fraction black households	236	0.152	0.177	0.068	199	0.072	0.071	0.048
Median household income ($000)	236	10.649	0.252	10.623	199	10.714	0.241	10.689
Fraction households in poverty	236	0.140	0.063	0.125	199	0.106	0.042	0.100
Fraction of households in urban areas	236	0.831	0.203	0.936	199	0.738	0.181	0.746
Fraction of households with less than high school	236	0.219	0.092	0.196	199	0.179	0.059	0.165
Fraction of households with only high school	236	0.280	0.065	0.282	199	0.294	0.062	0.300

Note: [a] Congressional Districts are defined "Democrat" or "Republican" according to the winning party in that district in 2006 elections (110th Congress).

(a) Table 1 - Summary statistics for congressional districts

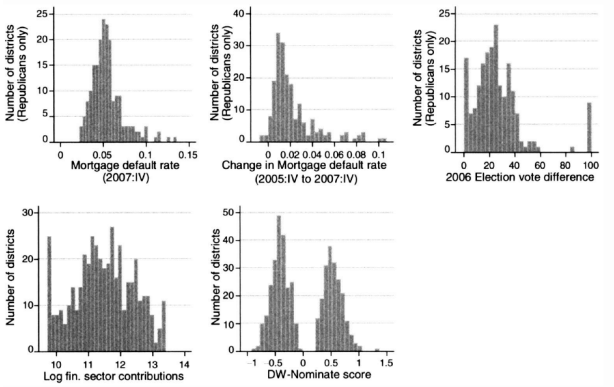


Figure 1. Freqouency Distributions of Our Main R.H.S. Variables

(b) Figure 1 - Frequency distributions of main right-hand-side variables

6.2 Table 2 - Correlation matrix + Table 3 - Voting patterns on AHRFPA

Read:

- Table 2 shows that among Republicans, mortgage defaults, financial contributions, and ideology are only weakly correlated, which helps separate their effects.
- Among Democrats and in the full sample, some correlations are stronger, but Democratic votes have little variation on AHRFPA.
- Table 3 shows that Democrats were almost unanimously supportive of AHRFPA, while Republican votes were split.
- The split among Republicans creates the main identifying variation for AHRFPA voting.

Economic message: The paper's core AHRFPA tests focus on Republicans because they are the legislators for whom constituent distress can explain meaningful vote variation.

TABLE 2—CORRELATION MATRIX FOR CONSTITUENT INTERESTS, SPECIAL INTERESTS, AND POLITICIAN IDEOLOGY

	DW-Nominate ideology score	Mortgage default rate (2007:IV)
Panel A. Full sample		
Mortgage default rate (2007:IV)	−0.269***	
ln(financial industry contributions, average per cycle)	0.196**	−0.151***
Panel B. Democrats		
Mortgage default rate (2007:IV)	−0.189***	
ln(financial industry contributions, average per cycle)	0.390***	−0.191**
Panel C. Republicans		
Mortgage default rate (2007:IV)	−0.007	
ln(financial industry contributions, average per cycle)	0.048	0.001

*** Significant at the 1 percent level.
** Significant at the 5 percent level.

(a) Table 2 - Correlation matrix for constituent interests, special interests, and ideology

TABLE 3—VOTING PATTERNS ON THE AMERICAN HOUSING RECOVERY AND FORECLOSURE PREVENTION ACT OF 2008

	Democrats (1)	Republicans (2)	Total (3)
Panel A. 519 vote (July 26, 2008)			
Number voting Yes	227	45	272
Number voting No	3	149	152
Total	230	194	424
Panel B. 301 vote (May 8, 2008)			
Number voting Yes	229	39	268
Number voting No	0	154	154
Total	229	193	422
	# Voting Yes on 301 (1)	# Voting No on 301 (2)	Total (3)
Panel C. Switchers (Republican only)			
Number voting Yes on 519	24	19	43
Number voting No on 519	14	131	145
Total	38	150	188

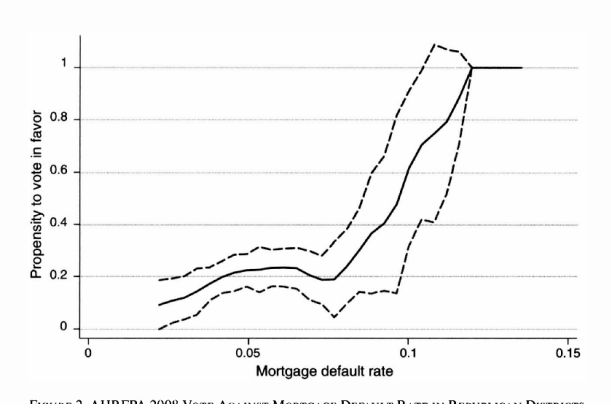
(b) Table 3 - Voting patterns on AHRFPA 2008

6.3 Figure 2 - AHRFPA vote against mortgage default rate + Table 4 - Constituent interests and AHRFPA voting

Read:

- Figure 2 shows a strongly increasing relationship between mortgage default rates and the probability that Republicans vote for AHRFPA.
- The slope is especially steep once mortgage defaults rise above roughly 7 percent.
- Table 4 confirms the graphical pattern in regressions. The coefficient on mortgage defaults is positive, large, and robust to ideology, finance contributions, political controls, state fixed effects, and census controls.
- The change in default rates from 2005:IV to 2007:IV is also strongly predictive, showing that the crisis shock rather than only preexisting default levels matters.

Economic message: Politicians respond to constituent distress when the relevant local economic shock is severe, salient, and electorally costly.



(a) Figure 2 - AHRFPA 2008 vote against mortgage default rate in Republican districts

TABLE 4—CONSTITUENT INTERESTS AND VOTING PATTERNS ON THE AHRFPA OF 2008

Dependent variable: voted in favor of AHRFPA 2008 (July 26, 2008)

	(1)	(2)	(3)	(4)	State fixed effects (5)	With census controls (6)	May 8, 2008 vote (7)	Probability of voting Yes in July given Yes on May 8 (8)	Probability of voting Yes in July given No on May 8 (9)
Mortgage default rate (2007:IV)	6.708***	6.660***		6.691***	4.789**	5.009***	3.697**	6.085**	6.028***
	(1.448)	(1.303)		(1.296)	(2.260)	(1.915)	(1.434)	(2.294)	(1.713)
DW-Nominate ideology score		−0.866***	−0.836***	−0.821***	−0.578***	−0.809***	−1.083***	−0.520	−0.555***
		(0.153)	(0.155)	(0.149)	(0.199)	(0.149)	(0.171)	(0.941)	(0.144)
ln(financial industry contributions per cycle)		0.028	0.031	0.036	0.041	0.006	0.035	0.017	0.006
		(0.030)	(0.029)	(0.040)	(0.048)	(0.041)	(0.028)	(0.079)	(0.028)
Mortgage default rate (2005:IV)			1.737						
			(2.281)						
ΔMortgage default rate (2005:IV-2007:IV)			7.455***						
			(1.322)						
Finance committee				0.092	0.014	0.089			
				(0.090)	(0.096)	(0.088)			
Number of terms served				0.011	0.010	0.005			
				(0.009)	(0.011)	(0.009)			
Vote margin 2006 elections				−0.001	−0.000	−0.000			
				(0.001)	(0.002)	(0.001)			
Constant	−0.135*	0.015	0.110	−0.162	−0.239	−5.629	0.180	0.265	0.057
	(0.080)	(0.362)	(0.352)	(0.506)	(0.635)	(4.017)	(0.330)	(0.937)	(0.317)
Observations	194	194	194	194	194	194	193	38	150
Adjusted R^2	0.08	0.21	0.23	0.21	0.26	0.23	0.24	0.00	0.15

Notes: Coefficient estimates relating voting patterns on the 519 vote (July 26, 2008, passage of the AHRFPA of 2008) to the congressional district mortgage default rate as of 2007:IV. The sample includes voting Republicans only. Census controls include percentage Hispanic, percentage black, percentage living in urban setting, log of median household income, percentage below poverty, percentage less than high school, and percentage with high school only. Robust standard errors in parentheses. Column 7 presents coefficient estimates relating voting patterns on the 301 vote (May 8, 2008).

***Significant at the 1 percent level.
**Significant at the 5 percent level.
*Significant at the 10 percent level.

(b) Table 4 - Constituent interests and voting patterns on AHRFPA

6.4 Table 5 - Targeting constituent interests + Table 6 - Electoral competition

Read:

- Table 5 separates home defaults from nonhome defaults. Home defaults are positive and significant; nonhome defaults are negative or insignificant.
- This shows that legislators are not simply responding to generic consumer distress; they respond to mortgage-related distress targeted by the bill.
- Table 6 shows that the mortgage-default effect is larger in more competitive districts.
- The interaction of default rates with competition is generally positive, implying that electoral incentives amplify constituent responsiveness.

Economic message: Representatives are responsive to the specific crisis channel and respond more when electoral accountability is stronger.

Table 5—Targeting Constituents' Interests: Which Default Rate Matters for Votes on the AHRFPA of 2008?
Dependent variable: voted in favor of AHRFPA 2008 (July 26, 2008)

	(1)	With political controls (2)	State fixed effects and political controls (3)	Census and political controls (4)
Home default rate (2007:IV)	9.071***	8.864***	6.522*	6.741***
	(2.038)	(2.063)	(3.476)	(2.554)
Nonhome default rate (2007:IV)	−3.308	−2.967	−2.515	−2.964
	(2.285)	(2.346)	(4.430)	(2.998)
DW-Nominate ideology score	−0.846***	−0.806***	−0.578***	−0.789***
	(0.154)	(0.150)	(0.196)	(0.150)
ln(financial industry contributions per cycle)	0.033	0.043	0.041	0.011
	(0.030)	(0.040)	(0.048)	(0.042)
Observations	194	194	194	194
Adjusted R^2	0.21	0.21	0.26	0.23

Notes: Coefficient estimates relating voting patterns on the 519 vote (July 26, 2008, passage of the AHRFPA of 2008) to the congressional district home and nonhome default rate as of 2007:IV. The home default rate includes defaults on mortgages and home equity loans, and the nonhome default rate includes defaults on credit card debt, auto loans, student loans, and consumer loans. The sample includes voting Republicans only. All regressions include a constant (not reported). Political controls include a financial committee indicator variable, terms served, and margin of victory in 2006 election. Census controls include percentage Hispanic, percentage black, percentage living in urban setting, log of median household income, percentage below poverty, percentage less than high school, and percentage with high school only.
***Significant at the 1 percent level.
**Significant at the 5 percent level.

(a) Table 5 - Which default rate matters for AHRFPA votes?

Table 6—Do Politicians Respond More to Constituent Interests in More Competitive Districts?
(*Dependent variable: voted in favor of AHRFPA 2008*)

	(1)	(2)	(3)	(4)	(5)
Competitive district	−0.103	−0.213	−0.027	−0.007	−0.318**
	(0.302)	(0.233)	(0.248)	(0.009)	(0.139)
Mortgage default rate (2007:IV)	6.302***	6.350***	6.505***	4.456**	5.085**
	(1.370)	(1.375)	(1.382)	(2.078)	(2.047)
(Mortgage default rate) × (competitive district)	7.227*	8.236**	4.246	0.272*	4.370*
	(4.190)	(3.689)	(4.550)	(0.160)	(2.526)
DW-Nominate ideology score	−0.795***	−0.793***	−0.810***	−0.783***	−0.848***
	(0.153)	(0.154)	(0.153)	(0.151)	(0.152)
ln(financial industry contributions per cycle)	0.012	0.010	0.009	0.002	0.028
	(0.030)	(0.030)	(0.030)	(0.030)	(0.029)
Constant	0.164	0.183	0.192	0.328	0.110
	(0.362)	(0.363)	(0.362)	(0.371)	(0.356)
Definition of competition	Margin less than 2 percent in 2006	Margin less than 4 percent in 2006	Margin less than 6 percent in 2006	Linear censored	Swing states
Observations	194	194	194	194	194
Adjusted R^2	0.23	0.22	0.22	0.23	0.22

Notes: Coefficient estimates relating voting patterns on the 519 vote (July 26, 2008, passage of the AHRFPA of 2008) to the congressional district mortgage default rate as of 2007:IV. Each specification includes an interaction term that measures districts that are competitive for the incumbent in the November 2008 election. The sample includes voting Republicans only. Robust standard errors in parentheses.
***Significant at the 1 percent level.

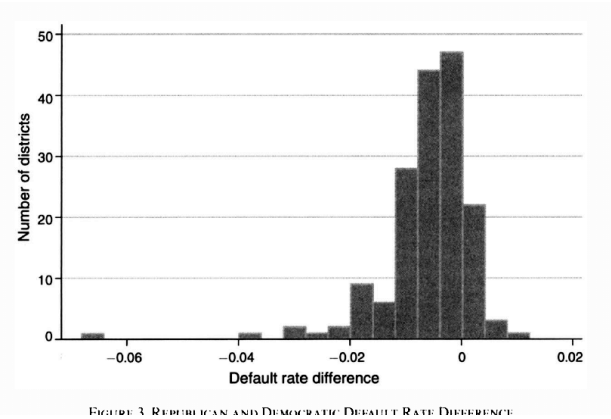
(b) Table 6 - Do politicians respond more in competitive districts?

6.5 Figure 3 - Republican/Democratic default-rate difference + Table 7 - Own voting bloc

Read:

- Figure 3 shows that within many Republican districts, Republican and Democratic default rates are close, but there is enough variation to test party-specific responsiveness.
- Table 7 shows that Republican legislators respond more strongly to Republican mortgage default rates than to Democratic mortgage default rates.
- In districts with larger partisan differences in default exposure, the own-party response becomes stronger.
- The results support the dual-constituency hypothesis: politicians are especially responsive to their own electoral base.

Economic message: Constituent interest is not just a district average. Politicians appear to weight the welfare of their political supporters more heavily.



(a) Figure 3 - Republican and Democratic default-rate difference

TABLE 7—DO POLITICIANS RESPOND UNIQUELY TO THEIR OWN VOTING BLOC?
Dependent variable: voted in favor of AHRFPA 2008 (July 26, 2008)

	Sample: All Republicans		Sample split by Republicans in districts with large difference in default rates			
	(1)	With census and political controls (2)	Only above median sample (3)	(4)	With census and political controls (5)	Competition interaction (6)
Republican mortgage default rate	5.676*	8.523**	9.345***	8.840***	12.921***	13.188***
	(3.318)	(3.375)	(3.023)	(3.251)	(3.488)	(3.566)
Democratic mortgage default rate	1.109	−1.579	−3.124	−2.730	−5.880*	−8.477***
	(3.125)	(3.683)	(2.915)	(3.362)	(3.187)	(2.805)
DW-Nominate ideology score	−0.960***	−0.875***	−1.133***	−0.965***	−0.887***	−1.000***
	(0.171)	(0.179)	(0.275)	(0.173)	(0.180)	(0.284)
ln(financial industry contributions per cycle)	0.039	0.017	0.107*	0.036	0.017	0.071
	(0.033)	(0.048)	(0.059)	(0.034)	(0.048)	(0.063)
(Republican mortgage default rate) × (Below median default difference?)				−23.832	−30.052	
				(18.775)	(21.719)	
(Democratic mortgage default rate) × (Below median default difference?)				23.523	29.494	
				(18.520)	(21.380)	
Below median default difference?				−0.107	−0.125	
				(0.185)	(0.000)	
Competitive district						−0.010
						(0.018)
Competitive district × Republican default rate						−0.509
						(0.378)
Competitive district × Democratic default rate						0.698*
						(0.394)
Observations	162	162	80	162	162	80
Adjusted R^2	0.23	0.24	0.31	0.23	0.24	0.32

Notes: Coefficient estimates relating voting patterns on the 519 vote (July 26, 2008, passage of the AHRFPA of 2008) to the party-specific congressional district mortgage default rate as of 2007:IV. The sample includes voting Republicans only. The Republican (Democrat) mortgage default rate is constructed by weighting default rates in the zip codes within the district by the fraction of registered Republicans (Democrats) in the zip codes. In columns 3 and 6, we limit the sample to the districts above the median absolute difference between Republican and Democrat default rates. Political controls include financial committee indicator variable, terms served, and margin of victory in 2006 election. Census controls

(b) Table 7 - Do politicians respond uniquely to their own voting bloc?

6.6 Table 8 - EESA voting patterns + Figure 4 - EESA vote against financial contributions

Read:

- Table 8 shows that the EESA vote was much more divided than the AHRFPA vote, especially across and within parties.
- The bill initially failed on September 29 but passed on October 3 after revisions.
- Figure 4 shows a positive relationship between log financial-sector contributions and the probability of supporting EESA.
- The nonparametric pattern is economically meaningful: support rises with financial-sector campaign contributions.

Economic message: The EESA vote provides a setting where organized financial-sector interests are directly relevant and measurable.

Table 8—Voting Patterns on the Emergency Economic Stabilization Act of 2008

	Democrats (1)	Republicans (2)	Total (3)
Panel A. 681 vote (October 3, 2008)			
Number voting Yes	172	91	263
Number voting No	63	108	171
Total	235	199	434
Panel B. 674 vote (September 29, 2008)			
Number voting Yes	140	65	205
Number voting No	95	133	228
Total	235	198	433
	Number voting Yes on 674 (1)	Number voting No on 674 (2)	Total (3)
Panel C. Switchers			
Number voting Yes on 681	204	58	262
Number voting No on 681	1	170	171
Total	205	228	433

(a) Table 8 - Voting patterns on EESA 2008

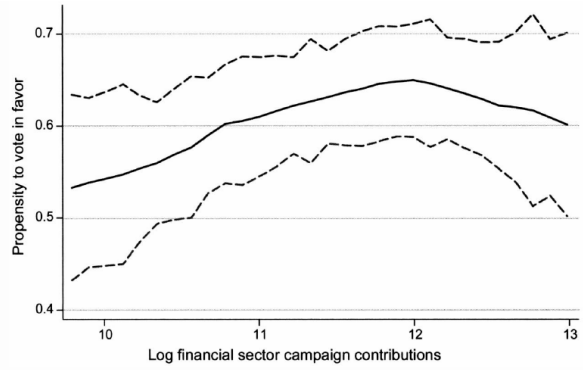


Figure 4. EESA 2008 Vote Against Log Financial Sector Campaign Contributions

(b) Figure 4 - EESA 2008 vote against log financial-sector contributions

6.7 Table 9 Panel A - Special interests and EESA + Table 9 Panel B - Switch votes

Read:

- Table 9A shows that finance contributions predict support for the October 3 EESA vote even with political and census controls.
- Nonfinance contributions are not similarly predictive, supporting a financial-sector-specific interpretation.
- Financial employment in the district matters, but contributions remain important, suggesting a role for organized finance beyond constituent employment exposure.
- Table 9B examines vote switchers between September 29 and October 3. High-default districts are more likely to switch from No to Yes or remain supportive, consistent with electoral vulnerability.

Economic message: EESA voting reflects special-interest pressure, but vote switching also reveals continued importance of constituent distress and electoral pressure.

Table 9. Panel A—Special Interests and Voting Patterns on the EESA of 2008
Dependent variable: voted in favor of EESA 2008 (October 3, 2008)

	(1)	(2)	State fixed effects (3)	With political, census controls (4)	2008 cycle measures of campaign contributions (5)	(6)	Other measures of constituent interests, (8) with census and political controls (7)	(8)	Retiring politician interaction (9)
Mortgage default rate (2007:IV)	0.447	0.438	0.137	0.656	0.179	0.413	1.141	1.170	1.378
	(0.814)	(0.823)	(1.004)	(1.407)	(0.837)	(0.841)	(0.874)	(1.415)	(0.970)
DW-Nominate ideology score	−0.316***	−0.447***	−0.298***	−0.253***	−0.307***	−0.368***	−0.296***	−0.257***	−0.305***
	(0.045)	(0.124)	(0.054)	(0.051)	(0.045)	(0.045)	(0.045)	(0.050)	(0.047)
ln(finance contributions per cycle)	0.063***	0.068***	0.067**	0.129***			0.046*	0.124***	0.122***
	(0.023)	(0.023)	(0.026)	(0.028)			(0.024)	(0.028)	(0.029)
Republican indicator		0.140							
		(0.128)							
ln(finance contributions, 2008 cycle)					0.061**	0.118***			
					(0.025)	(0.028)			
ln(all nonfinance contributions, 2008 cycle)						0.009			
						(0.033)			
Fraction constituents working in finance							0.032***	0.035***	0.034***
							(0.010)	(0.012)	(0.010)
Fraction constituents with >$200K income							2.537***	1.947	1.997**
							(0.955)	(1.793)	(0.936)
Retiring representative									1.897**
									(0.775)
Retiring representative × ln(financial industry contributions per cycle)									−0.129*
									(0.067)
Observations	434	434	434	434	434	398	434	434	434
R^2	0.11	0.11	0.11	0.19	0.11	0.17	0.15	0.21	0.22

Notes: Coefficient estimates relating voting patterns on the 681 vote (October 3, 2008, passage of the EESA of 2008) to contributions by the finance industry. Political controls include a finance committee indicator, 2006 vote margin, and number of terms. Census controls include percentage Hispanic, black, living in urban setting, below poverty, less than high school, and high school only in addition to log of median household income. Column 9 examines the differential effect of campaign contributions for 34 representatives not running in the 2008 election. Robust standard errors in parentheses.
*** Significant at the 1 percent level.

(a) Table 9 Panel A - Special interests and EESA voting

Table 9. Panel B—What Determines Which Politicians Switch Votes on EESA of 2008?

Dependent variable	Full sample: Voted in favor of EESA 2008 (September 29) (1)	(2)	With political and census controls (3)	Condition sample on those that vote against bill on September 29, 2008: Voted in favor of EESA 2008 (October 3) after voting against (September 29) Full (4)	Democrats (5)	Republicans (6)
Mortgage default rate (2007:IV)	−0.961	−0.483	0.747	2.038*	3.272**	0.688
	(0.850)	(0.904)	(1.462)	(1.080)	(1.515)	(1.493)
DW-Nominate ideology score	−0.314***	−0.301***	−0.271***	−0.188***	−0.219	−0.282*
	(0.045)	(0.045)	(0.049)	(0.057)	(0.202)	(0.146)
ln(financial industry contributions per cycle)	0.057**	0.046*	0.154***	0.035	0.063	0.023
	(0.024)	(0.024)	(0.029)	(0.026)	(0.050)	(0.034)
Fraction constituents working in finance		0.013	0.022	0.057***	0.040	0.071***
		(0.012)	(0.013)	(0.020)	(0.031)	(0.024)
Fraction constituents with >$200K income		2.147*	0.488	3.720	10.726**	1.236
		(1.146)	(1.946)	(2.305)	(4.847)	(2.619)
Observations	433	433	433	228	95	133
R^2	0.10	0.11	0.21	0.16	0.16	0.14

Notes: Columns 1 through 3 present coefficient estimates relating voting patterns on the 674 vote (September 29, 2008, passage of EESA of 2008) to campaign contributions by the financial services industry. The specifications reported in columns 4 through 6 isolate the sample to those that voted against the EESA of 2008 on September 29 (674 vote) and examine the determinants of politicians who switched their vote on October 3, 2008 (681 vote). All regressions include a constant. Political controls include financial committee indicator variable, terms served, and margin of victory in 2006 election. Census controls include percentage Hispanic, percentage black, percentage living in urban setting, log of median household income, percentage below poverty, percentage less than high school, and percentage with high school only.
*** Significant at the 1 percent level.
** Significant at the 5 percent level.
* Significant at the 10 percent level.

(b) Table 9 Panel B - What determines EESA switch votes?

6.8 Table 10 Panel A + Table 10 Panel B - Ideology versus constituent and special interests

Read:

- Panel A shows that ideology moderates responsiveness to mortgage defaults in the AHRFPA vote.
- The interaction between ideology and mortgage defaults is negative: more conservative Republicans are less responsive to default distress.
- Panel B shows an analogous pattern for EESA: more conservative politicians are less responsive to financial-sector campaign contributions.
- These interactions survive controls and show that ideology changes the effect of interests, not only the baseline probability of voting yes.

Economic message: Ideology acts as a constraint on pressure politics. Politicians respond to constituents and donors, but ideological conservatives respond less.

Table 10—How Do Politicians Trade Off Ideology versus Constituent and Special Interests?

	(1)	(2)	Republicans only Census, political controls (3)	Competition interactions, square terms (4)	(4) + all census variable interactions (5)
Panel A. Voted in favor of AHRFPA 2008					
DW-Nominate ideology score	0.582	0.559	−0.084	−2.516	−3.095
	(1.892)	(1.872)	(1.969)	(2.244)	(2.295)
Mortgage default rate (2007:IV)	21.701***	8.011	−0.324	5.629	−115.628*
	(4.603)	(16.851)	(18.162)	(17.557)	(69.779)
(Ideology score) × (mortgage default rate)	−28.966***	−30.115***	−27.525***	−30.915***	−29.521***
	(8.495)	(8.474)	(10.131)	(9.932)	(10.622)
ln(financial industry contributions per cycle)	0.037	−0.030	−0.107	−0.208	−0.532
	(0.108)	(0.135)	(0.148)	(0.589)	(0.602)
(Ideology score) × (ln(campaign contributions))	0.005	0.010	0.059	0.137	0.197
	(0.173)	(0.173)	(0.177)	(0.187)	(0.192)
(Mortgage default rate) × (ln(campaign contributions))		1.239	1.737	1.250	1.710
		(1.392)	(1.489)	(1.351)	(1.405)
Observations	194	194	194	194	194
R^2	0.25	0.25	0.31	0.29	0.34

(a) Table 10 Panel A - Ideology versus constituent interests on AHRFPA

	(1)	(2)	Census, political controls (3)	Competition interactions, square terms (4)	(3) + all census variable interactions (5)
Panel B. Voted in favor of EESA 2008					
DW-Nominate ideology score	1.231**	1.106*	1.096*	0.874	0.501
	(0.543)	(0.582)	(0.597)	(0.616)	(0.643)
Mortgage default rate (2007:IV)	1.154	−8.002	−14.916	−5.428	−9.274
	(0.958)	(8.644)	(9.418)	(10.121)	(10.225)
(Ideology score) × (mortgage default rate)	1.319	0.554	0.561	−0.155	−0.159
	(1.931)	(2.008)	(2.058)	(2.169)	(2.079)
ln(financial industry contributions per cycle)	0.063***	0.014	0.041	0.517	−0.175
	(0.023)	(0.054)	(0.059)	(0.403)	(0.479)
(Ideology score) × (ln(campaign contributions))	−0.142***	−0.128**	−0.121**	−0.086*	−0.057
	(0.046)	(0.050)	(0.051)	(0.051)	(0.052)
(Mortgage default rate) × (ln(campaign contributions))		0.807	1.443*	0.606	1.024
		(0.739)	(0.800)	(0.759)	(0.761)
Observations	434	434	434	434	434
R^2	0.13	0.13	0.22	0.15	0.21

Notes: Panel A reports specifications examining voting behavior on the AHRFPA 2008 501 vote (July 26, 2008). Panel B reports specifications examining of voting behavior on the EESA 2008 681 vote (October 3, 2008). All regressions include a constant. Political controls include financial committee indicator variable, terms served, and margin of victory in 2006 election. Census controls include percentage Hispanic, percentage black, percentage living in urban setting, log of median household income, percentage below poverty, percentage less than high school, and percentage with high school only. All interaction control variables in columns 4 and 5 include the level of the variable and the interaction with

(b) Table 10 Panel B - Ideology versus special interests on EESA

6.9 Figure 5 - AHRFPA by ideology + Figure 6 - EESA by ideology

Read:

- Figure 5 shows that the default-rate slope is steep for less conservative Republicans and flatter for more conservative Republicans.
- Figure 6 shows that financial contributions are strongly related to EESA support for liberal or moderate legislators but weakly related for conservatives.
- These figures visualize the interaction results from Table 10.
- The same pattern appears across two very different interests: distressed constituents and financial-sector contributors.

Economic message: Ideology does not eliminate political responsiveness, but it changes how strongly legislators respond to economic and special-interest pressure.

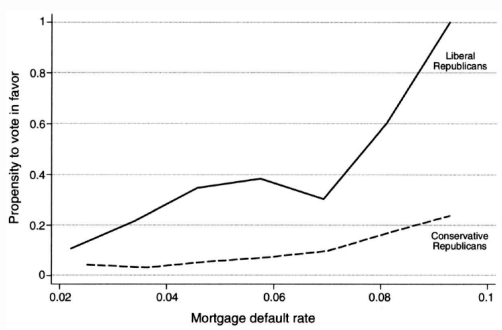


Figure 5. AHRFPA 2008 Vote Against Change in Mortgage Default Rate: By Ideology

(a) Figure 5 - AHRFPA vote against mortgage default rate by ideology

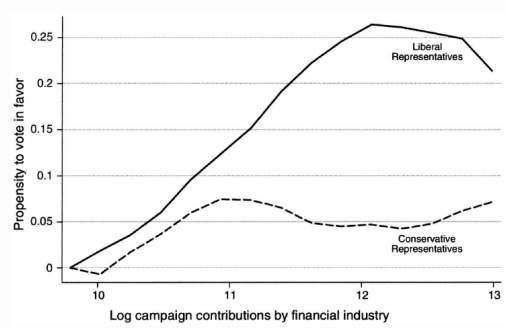


Figure 6. EESA 2008 Vote Against Log Campaign Contributions: By Ideology

(b) Figure 6 - EESA vote against campaign contributions by ideology

7 Short summary

- The paper studies House votes on AHRFPA and EESA during the 2008 mortgage default crisis.
- It asks how constituent distress, financial-sector special interests, and ideology jointly shape voting.

- Mortgage default rates predict Republican support for AHRFPA.
- The default effect is stronger in competitive districts, consistent with electoral incentives.
- Legislators respond to home defaults rather than nonhome defaults, showing precise targeting of relevant constituent interests.
- Republicans respond more to Republican constituent defaults than Democratic constituent defaults, supporting a dual-constituency view.
- Financial-sector contributions predict EESA support.
- Nonfinance contributions do not have the same explanatory power.
- Conservative legislators are less responsive to both constituent distress and special-interest contributions.
- The paper demonstrates that voting in crisis legislation reflects the interaction of economic interests and ideology rather than either force alone.

8 Conclusion

8.1 Core conclusion

Mian, Sufi, and Trebbi show that congressional voting during the mortgage default crisis responded to economic interests, organized money, and ideology. Mortgage distress in a district made Republicans more likely to support foreclosure-prevention legislation, while financial-sector contributions made legislators more likely to support the broader financial rescue. Yet ideology moderated both forces: conservative legislators were less responsive to distress and to contributions.

8.2 Incremental contribution revisited

The paper's incremental contribution is to separate three forces that are often empirically confounded. It uses the crisis as a setting in which constituent interest, special-interest pressure, and ideology can point in different directions. It also uses unusually granular data: zip-code-level defaults, congressional district mapping, party registration within districts, campaign contributions, and roll-call votes. This lets the paper distinguish district-level responsiveness, own-party-base responsiveness, and donor responsiveness.

8.3 Mechanism and interpretation

The AHRFPA evidence points to electoral accountability: Republicans in high-default districts, especially competitive districts, supported foreclosure relief. The EESA evidence points to special-interest politics: financial-sector contributions are associated with support for the rescue. The ideology results show that politicians are not mechanical vote maximizers; ideological commitments alter how they weigh both constituent and donor pressure.

8.4 Broader implication

The paper implies that crisis policy is political in a structured way. Democratic responsiveness is not only about the median voter, and lobbying is not the only non-ideological force. Politicians respond to specific affected groups, their own partisan coalition, and organized interests, but the strength of these responses depends on ideology and electoral competition.

8.5 Limitations and caution

The evidence is strongest for high-salience crisis votes. Contributions are not randomly assigned, and they may reflect both influence and alignment. Mortgage defaults may proxy for broader district conditions. Still, the combination of precise targeting, competition interactions, party-base tests, and ideology interactions makes the overall interpretation persuasive.

8.6 Takeaway

The paper's main lesson is that major crisis interventions are not explained by ideology or interests alone. They are shaped by an equilibrium of electoral incentives, special-interest pressure, and ideological discipline.